From: 陸行之 Andrew Lu on global semis and techs <andrewhclu@substack.com>
Subject: Intel guides an ugly 4Q26 on all prospectus despite a solid 3Q
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Intel guides an ugly 4Q26 on all prospectus despite a solid 3Q

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Intel guides an ugly 4Q26 on all prospectus despite a solid 3Q

存儲記憶體大漲價造成的 PC需求不振，外加以色列廠爆炸停工影響數據中心晶片生產，造成 Intel 四季度營收，毛利率及EPS都不如市場預期

ANDREW LU ON GLOBAL SEMI/TECHS
OCT 29 • PAID



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Great improvement in 3Q26

Intel reports 3Q26 sales of US$16.5bn, 2% qoq and 21% yoy, in line with Bloomberg estimates. 3Q26 gross margin of 43% was 2ppts higher than Bloomberg estimates. 3Q26 EPS of US$0.6 is much higher than Bloomberg's US$0.28 largely due to 2ppts better gross margin, 4ppts better operating margin and non-operating income of US$1.1bn.

Data center IC sales beat: 3Q26 Data center IC sales (largely server CPU sales) were US$7.32bn, up 17% qoq and 78% yoy, nearly 10% above consensus estimates. Data center IC sales accounted for 44% of 3Q26 sales, up from 2Q26's 39% and from 3Q25's 30%. Operating margin for data center IC sales was 42%, much higher than Bloomberg's 27%, and improved from 2Q26's 40% and 3Q25's 23%.

Improve in progress for foundry business: In addition to stronger data center IC sales, Intel foundry 3Q26 sales improved to US$6.7bn, up 16% qoq and 58% yoy. Driven by higher utilization rate, 3Q26 operating margin for Intel foundry was improved to -28%

from 2Q26's -36% and 3Q25's -55%, which was much better than Bloomberg's -36% estimates.

Metric	Actuals	Consensus		
Analyst				
Analyst Recommendation				
Model Download				
Table Data Date	10/29/2026	10/29/2026		
Business Breakdown				
▾ Intel Products				
▾ Revenue	15,415.00	15,549.48	21	-0.86%
▾ Client Computing	8,097.00	8,819.09	23	-8.19%
▸ Desktop and Notebook	8,100.00	7,706.76	1	5.10%
Other		1,084.83	3	
Data Center & AI	7,318.00	6,674.59	23	9.64%
▾ Operating Income	5,324.00	4,517.97	4	17.84%
▾ Client Computing	2,285.00	2,685.20	4	-14.90%
Operating Margin (%)	28.20	29.79	4	-5.35%
▾ Data Center & AI	3,039.00	2,356.76	1	28.95%
Operating Margin (%)	41.50	26.66	2	55.68%
▾ Intel Foundry				
Revenue	6,697.00	6,116.50	22	9.49%
▾ Operating Income	-1,853.00	-2,175.01	4	14.81%
Operating Margin (%)	-27.70	-35.89	4	22.82%
▾ All Other				
▾ Revenue	692.00	670.19	24	3.25%
Other		156.57	9	
▾ Operating Income	179.00	166.27	4	7.66%
Operating Margin (%)		20.90	4	
Intersegment Eliminations	6,291.00	6,019.76	15	4.51%

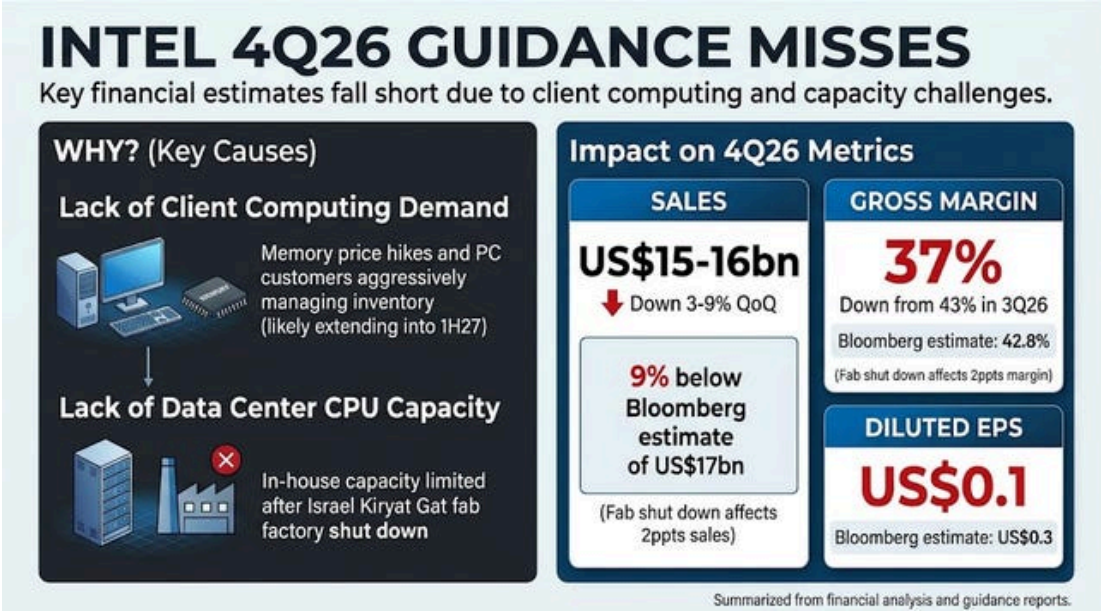
Source: Intel, Bloomberg est.

AI-based	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26
Client computing	7.63	7.87	8.54	8.19	7.73	8.88	8.10
Data center	4.13	3.94	4.12	4.74	5.05	6.26	7.32
Intel Foundry Services	4.67	4.42	4.24	4.51	5.42	5.77	6.70
All other	0.94	1.05	0.99	0.57	0.63	0.70	0.69
Total	12.67	12.859	13.653	13.674	13.577	16.128	16.513
Sales breakdown (%)							
Client computing	60%	61%	63%	60%	57%	55%	49%
Data center	33%	31%	30%	35%	37%	39%	44%
Intel Foundry Services	37%	34%	31%	33%	40%	36%	41%
All other	7%	8%	7%	4%	5%	4%	4%
Sales Q/Q (%)							
Client computing	-13%	3%	8%	-4%	-6%	15%	-9%
Data center	-5%	-5%	5%	15%	7%	24%	17%
Intel Foundry Services	8%	-5%	-4%	6%	20%	6%	16%
All other	-15%	12%	-6%	-42%	9%	12%	-1%
Total	-11%	2%	6%	0%	-1%	19%	2%
Sales Y/Y (%)							
Client computing	-8%	-3%	5%	-7%	1%	13%	-5%
Data center	8%	4%	-1%	9%	22%	59%	78%
Intel Foundry Services	7%	3%	-2%	4%	16%	31%	58%
All other	47%	20%	3%	-48%	-33%	-33%	-30%
Total	0%	0%	3%	-4%	7%	25%	21%
Op profits (US$bn)	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26
Client computing	2.361	2.053	2.694	2.209	2.516	2.343	2.285
Data center and AI	0.575	0.633	0.964	1.250	1.542	2.474	3.039
Intel Foundry Services	(2.320)	(3.168)	(2.321)	(2.509)	(2.437)	(2.089)	(1.853)
All other	0.103	0.069	0.100	(0.008)	0.102	0.230	0.179
Total	(0.301)	(3.176)	0.683	0.580	(3.136)	1.796	2.522
Op margin (%)	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26
Client computing	31%	26%	32%	27%	33%	26%	28%
Data center	14%	16%	23%	26%	31%	40%	42%
Intel Foundry Services	-50%	-72%	-55%	-56%	-45%	-36%	-28%
All other	11%	7%	10%	-1%	16%	33%	26%
Total	-2%	-25%	5%	4%	-23%	11%	15%
Op profits Q/Q (%)							
Client computing	-26%	-13%	31%	-18%	14%	-7%	-2%
Data center	54%	10%	52%	30%	23%	60%	23%
Intel Foundry Services	3%	37%	-27%	8%	-3%	-14%	-11%
All other	-33%	-33%	45%	-108%	-1375%	125%	-22%
Total	-173%	955%	-122%	-15%	-641%	-157%	40%
Op profits Y/Y (%)							
Client computing	-16%	-22%	-8%	-31%	7%	14%	-15%
Data center	38%	162%	153%	234%	168%	291%	215%
Intel Foundry Services	-5%	13%	-60%	12%	5%	-34%	-20%
All other	-161%	-250%	1900%	-105%	-1%	233%	79%
Total	-72%	62%	-108%	41%	942%	-157%	269%

Source: Andrew Lu on global semis/techs

4Q26 guidance missing on sales, margin, and EPS

Combined effects from lack of demand on client computing (due to memory price hike and PC customers to aggressively manage inventory might extend to 1H27) and lack of data center CPU capacity (limited by in house capacity after Israel Kiryat Gat fab factory shut down), Intel guides 4Q26 sales of US$15-16bn, down 3-9% qoq and 9% below Bloomberg estimate of US$17bn (Fab shut down affects 2ppts sales). 4Q26 gross margin is guided to deteriorate to 37% (Fab shut down affects 2ppts margin), 6ppts lower than 3Q26's 43% and Bloomberg's 42.8%, resulting much lower diluted EPS of US$0.1 (Bloomberg's US$0.3).



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